UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2013/2014

DECEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

MONDAY, 9 DECEMBER 2013 TIME: 2.00PM – 5.00PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

UKFF4024 MULTINATIONAL FINANCE

Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1 (a) Give **THREE (3)** differences between currency forwards and currency futures. (5 marks)

(b) Explain how to determine forward rate? (5 marks)

(c) **Bintangmax Berhad**

On 1 June, Bintangmax Berhad in Ipoh sold and delivered 10,000 pieces of wooden chairs to a supermarket in Singapore. On the same day, Bintangmax sold also 5,000 pieces to a customer in London. The sale price per chair to Singapore is S$5.00 and to London is S£1.50. Bintangmax gives a credit term of 90 days to both the buyers, and the payment is payable in the currency of the importers. Mr. Pang, the CEO of Bintangmax, is worried that S$ and S£ will depreciate in the coming months due to the current recession experienced by these countries. As a financial controller of the company, you are asked to propose ways to protect the firm from any losses due to this exchange rate risk. You have collected the following market information.

Market Information:

Foreign Exchange Rates (on 1 June)

	S$/RM		RM/ S£	
Spot	0.4751	0.4811	6.8120	6.9525
1 month forward	0.4764	0.4825	6.7950	6.9338
2 month forward	0.4777	0.4839	6.7785	6.9156
3 month forward	0.4790	0.4861	6.7595	6.8985

Money Market Rate (% per year)

	Deposit	Borrowing
Malaysia Bank	3	8.5
Singapore Bank	4	9.5
UK Bank	10	15

Futures Market (on 1 June)

	RM/S$	
Contract Size	**S$50,000**	S£ contract not Available
June	2.1018	
July	2.0961	
August	2.0892	
September	2.0828	

On 1 September, the futures exchange rates are RM2.0765/S$.

Section A Q1 (continued)

Spot Rate (on 1 September)

RM/S$		RM/ S£	
2.0988	2.1188	6.7650	6.8952

Required:

Prepare a report to show Mr. Pang the various ways of hedging the exchange rate risk arising from receiving S$ and S£ for the credit sales to Singapore and UK. Show the outcomes of these strategies on 1 September. Determine the most suitable strategy based on hindsight. (30 marks)

(Total: 40 marks)

Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1 (a) Explain five factors that make a firm decided to invest in a particular foreign country. (5 marks)

(b) Majujaya Berhad decides to acquire a factory in Thailand to be its subsidiary. The owner of a fully operational factory in Bangkok asks for a price of 90 million Baht. 10 million Baht would be required as its working capital.

Production and sales are expected to be 200,000 units per year and the sale price per unit on the first year is 200 baht. The total cost of production is 30% of the sale revenues and will increase in line with the inflation in Thailand. However, the sales price is not expected to increase over the company's planning horizon of 4 years due to competition.

The current spot exchange rate is Baht 9.5/RM.

The current inflation rates in Malaysia and Thailand are 3% and 5% respectively. Assume these inflation rates will remain unchanged in the future. The future exchange rates can be determined using the Purchasing Power Parity.

Majujaya is allowed to remit all its earnings back to Malaysia every year. There is no withholding tax on such remittances. The corporate tax rates are 28% and 25% respectively in Malaysia and Thailand. A bilateral tax treaty exists between Malaysia and Thailand. Tax allowable depreciation on the Baht 90 million investment is claimed at the rate of 40% in the first year and 20% thereafter annually until full utilization.

The after tax market value of the factory after four years is expected to be Baht 60 million.

Cost of Capital for Majujaya

	Risk-Free	Cost of Debt	Beta	Equity risk premium	% of Debt
MesraJaya	3%	8%	1.5	7%	50%

Majujaya requires a foreign investment premium of 3 % for investment in Thailand.

Required:

(i) Prepare a report analyzing whether or not Majujaya should purchase the factory in Bangkok. (20 marks)

(ii) What additional informations would be able to assist Majujaya to make the decision? (5 marks)

(Total: 30 marks)

Section B (continued)

Q2 (a) Discuss the main determinants of foreign exchange rates in the fixed and floating exchange rate regimes. (15 marks)

(b) Discuss how companies could forecast exchange rate using purchasing power parity and interest rate parity. (15 marks)

(Total: 30 marks)

Q3 (a) Stephen is a foreign exchange dealer for a bank in Sydney, Australia. He has AUD 2,000,000 (or its MYR equivalent) for a short-term money market investment. He wonders if he should invest in Aussie dollar (AUD) or make a covered interest arbitrage investment in Malaysian ringgit (MYR).

He faces the following rates:

Spot exchange rate	MYR2.9880/AUD
3-month forward exchange rate	MYR2.9967/AUD
3-month Australia interest rate	3.00% p.a.
3-month Malaysia interest rate	5.80% p.a.

(i) Based on rule of thumb, which country's money market do you recommend Stephen to invest in? (3 marks)

(ii) Compute the amount of covered interest arbitrage profits in AUD term and the effective annual rate of return. (8 marks)

(iii) How would market forces realign MYR/AUD spot and forward exchange rates to restore the Interest Rate Parity (IRP)? (4 marks)

(b) (i) What is the risk of non-performance by exporters or importers in international trade? (6 marks)

(ii) Explain briefly how this risk could be mitigated by using letter of credits, bill of lading and draft. (9 marks)

(Total: 30 marks)